Frontline
— SOLUTIONS COLLECTIVE —

Jem HR Research Framework

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I. Purpose and Problem Statement

Jem HR aims to set the benchmark for HR systems in emerging markets, specifically for frontline workers. Our goal is to enhance every aspect of their employment experience—from onboarding to financial empowerment—by making it accessible, efficient, and rewarding.

Jem is on a mission to be the ultimate HR System for frontline employees, with a big hairy audacious goal (BHAG) of reaching $100m in annual revenue by 2030. They aim to achieve this by selling affordable, WhatsApp-based and easy-to-use HR products to employers, driving acquisition. They then plan to monetise the large base of employees through giving employees access to fair financial services.

Jem now needs to understand which industries to target next and how big those markets are. They are calling this their exploratory customer profile (ECP). They are exploring three specific industries: manufacturing, low-income retail, and construction. Understanding the size of these industries and the core problems these companies face when it comes to managing a frontline workforce is essential to their success and achieving their BHAG. For context, in order for Jem to meet their BHAG, they need to service 2 million employees.

Jem wants to build on their existing market sizing work and perform market sizing analysis to determine the size and distribution of potential clients fitting Jem's Exploratory Customer Profile (ECP) within South Africa, focusing on large employers with frontline employees in manufacturing, low-income retail, and construction.

II. Global HR Trends

1. Problems facing the HR industry for frontline workers

What are the most significant challenges frontline workers face with current HR processes?

Frontline workers are the public face and lifeline of organizations as they are responsible for interfacing with clients, sustaining critical infrastructure, and ensuring that company operations run seamlessly. In summary, frontline workers play a direct role in production. Current research shows that 80% of the workforce are frontline workers and according to Lamanna (2023), there are approximately 2.7 billion frontline workers worldwide. This group of employees makes up twice the number of desk-based employees and includes individuals from various labour-intensive industries such as food and service retail, construction, manufacturing, and healthcare. However, despite their significance in the corporate world and their massive number, frontline workers are overlooked by technology providers and have little to no tech to support their work-related activities. Frontline workers face several challenges with current Human Resources (HR) processes in their various workplace settings, and some of the most common issues revolve around the following areas:

1.1. Inadequate Technology and Resources

1.1.1. Many frontline workers lack access to modern digital tools and technology that could help streamline their work as compared to desk workers. This technology gap increases the difficulty of performing tasks efficiently and contributes to frustration and burnout. Majority of the technology presently used in the workplace is not designed to meet the needs of frontline employees. These employees typically do not have access to a computer or email address; hence, they rely on notice boards, shared company computers, and verbal communication to access the information they need. Currently, frontline workers waste time on tasks that could be streamlined with technology, such as finding training documents, communicating with managers, and simply tracking down last month's pay statement. According to Lamanna (2023) over 60% of frontline workers struggle with repetitive tasks, which takes away the time to do more meaningful work, negatively affecting their morale and willingness to work.

1.2. Payment Issues

1.2.1. Many frontline workers struggle to get paid accurate salaries on time. This issue stems from inaccurate tracking systems with manual time tracking or outdated technology resulting in wrong records of hours worked. Aside wrong payment amounts, salaries are also often delayed for frontline workers because of payroll processing inefficiencies and administrative delays. Additionally, many organizations need to print out payslips and distribute them to various frontline workers because these workers do not have emails or access to work-related apps for communication. This is time-consuming and inefficient and could result in some employees not getting informed about payments due to missing payslips. According to research, the rationale behind printing payslips in some firms is because certain employers and employees have a fear of using complicated digital systems, thus the continuation of this process may not necessarily be because of the inaccessibility to digital services. This is prevalent for the much older workforce aged 55 -75 years. However, 70% of this age group now own smartphones, which is a great step towards a much larger adoption of cloud-based HR systems.

1.3. Communication Gaps

1.3.1. Many frontline employees often feel disconnected from their company's mission and goals due to inefficient communication channels. This is especially difficult for decentralized frontline employees in organizations with longer chains of command and a large workforce. These workers lack accessible resources and experience poor HR communication, which can be due to their work environment, where they might not have regular internet access or time to engage with digital platforms. Traditional communication methods like company email systems are often ineffective for frontline workers who do not have regular access to computers. According to research, these workers usually rely on notice boards or verbal communication and announcements, and it is impossible for management to decipher whether all employees have received and understood the communication relayed. Also, due to poor communication channels and gaps, it is quite difficult for frontline employees to request for leave or time off work.

1.4. Inefficient Shift Management and Poor Work-life Balance

1.4.1. Managing shifts and schedules can be a significant challenge for frontline workers, leading to inconsistencies and stress. Additionally, the inability of the Human Resource Department to efficiently plan schedules and shifts for frontline workers results in understaffing and overworking of certain employees.

1.5. Poor recruitment, training, and Onboarding processes

1.5.1. Many frontline workers do not receive adequate training and professional development opportunities. The lack of continuous learning can hinder their performance and career progression.

1.6. Safety and Health Concerns

1.6.1. Unsafe working conditions remain a prominent concern for frontline workers in industries like construction and manufacturing. The nature of many manufacturing jobs can be physically challenging, especially for those roles that require repetitive tasks or actions. There is a need for better safety measures, frequent breaks, and efficient communication regarding hazards to make these employees feel protected and cared for.

2. How do these challenges impact employee satisfaction and retention?
    2.1. According to research, 60% of frontline workers are dissatisfied with the technology they use at work. Due to all the challenges frontline employees face in organizations, they tend to feel neglected, disconnected, and dissatisfied with their jobs. Poor communication and inadequate training programs cause frontline employees to feel undervalued and unprepared for their jobs, reducing their overall job satisfaction. Inconsistent or last-minute scheduling disrupts their work-life balance and increases stress levels, causing burnout and higher turnover rates. According to Lamanna (2023), 1 in 2 frontline workers are burnt out from their jobs, and 45% express that they are likely to change employers in the next year. In summary, with current technology and human resource procedures, many frontline workers are dissatisfied and are seeking better work opportunities.

3. Current HR technologies being used (status quo)
    3.1. Currently, many businesses leverage mobile applications and cloud-based HR systems (HRMS) such as Sage, Workday and SAP SuccessFactors to help employees manage their attendance, leave requests and payroll from mobile devices. These cloud-based systems with mobile access to their respective platforms are rising in popularity because of their cost-effectiveness and flexibility prospects. These systems are especially helpful for operating a decentralized workforce because they allow employees to access information from any location.
        3.1.1. Sage offers robust scheduling tools that help managers create, distribute, and manage shifts efficiently. This reduces scheduling conflicts and ensures that workers are aware of their shifts in real-time (Forbes, 2023). Workday is known for its user-friendly interface and comprehensive packages for managing frontline workers. Its mobile app gives employees access to HR functions on the go and its advanced workforce planning helps managers to optimize staff levels and plan schedules according to the demand and supply of workers. Like all other cloud-based systems Workday is a unified platform managing all HR processes for frontline workers in one space, streamlining the overall process and reducing complexities. It is a very effective tool for businesses that have a workforce ranging between 250 to 1,000 employees and more.

    3.2. International players such as Beekeeper and Blink were also established to foster real-time communication between frontline workers and management. These platforms offer a unified communication channel accessible via smartphones. They are very helpful for deskless workers who are on the go and do not have regular access to emails or intranets. Blink provides single sign-on and self-service modes to essential resources such as pay slips and training information and ensures equitable access regardless of an employee's shift or schedule (Barth, 2024). Unily is also another platform that offers a tailored experience for employees, helping organizations engage their workforce by providing essential information and recognition, which boosts morale and reduces turnover (Barth, 2024).

4. How effective are these tools in addressing the needs of frontline employees?
    4.1. These apps help make HR processes for frontline workers more efficient but they have adoption challenges because of digital literacy and a need for access to devices and networks. On a platform level, Sage HR is a simple platform, which is excellent for companies looking for easy solutions but is not suitable for companies with complex workflows that need personalised solutions. For that reason, Sage HR is not suitable for larger businesses or enterprise-level organizations. Additionally, Sage HR offers few integrations, thus companies using different software for payroll may have to request a custom integration, which could be expensive and some of these integrations are not available in certain regions (Forbes, 2023). Although Workday is known for its ease of use and customizable options, there is a lack of transparent pricing from this provider. Also, integrating Workday with other existing systems or third-party applications can sometimes be problematic and new users may experience a steep learning curve, meaning effective training is essential to use the system effectively. These are a few challenges that some leading cloud-based HR systems present which are equally seen across a majority of systems in the corporate world.

    4.2. Users require access to the internet to use cloud-based systems which is unreliable in some geographic locations or during emergencies. Initial setup costs and ongoing subscription fees may pose challenges for smaller organizations or those with limited budgets. Some cloud-based HR systems may offer limited customization options, making it challenging to tailor the system to the specific needs of frontline workers or the organization's workflows. Also, a number of these systems require dedicated training before employees can use them effectively, which disrupts productivity. Finally, many employees are reluctant to change, hence adoption rates for new technology may be low in certain firms due to the fear and some perceived challenges new technology presents.

5. The Future of HR

    After the COVID-19 pandemic, frontline workers witnessed several milestones that accelerated the growing need for change regarding their work environments. This has influenced many companies to focus on improving working conditions. According to Grossman (2023), addressing the growing disconnect between frontline employees and managers is one of the most pressing issues demanding improvement in 2024.

    5.1. Artificial Intelligence and Frontline Workers
        5.1.1. The future of HR for frontline employees will most likely incorporate AI technology to streamline processes. AI has the potential to enhance frontline workers' day-to-day activities by optimizing shift coordination, language translations, direct communication with management, and streamlining safety procedures. This technological shift will improve workers' workflow by automating many mundane tasks and allow them to focus on important human-centric responsibilities. Overall, this will help companies boost productivity and reduce turnover rates. As companies evolve, frontline workers are more likely to see a surge in mobile-friendly, multi-lingual, and digital solutions to run HR processes, and there will be increased efforts from management to engage with

them to foster trust and inclusion, with AI being a facilitator in the process. However, there is a growing concern amongst frontline employees about potential job displacements and unease regarding the upskilling needed to adapt to these new technologies. Therefore, it is imperative that employers adopt solutions that meet deskless workers at their needs and irradicate the fear associated with technological changes in the workplace (Grossman 2023).

5.2. Adoption of Cloud-based HR systems for frontline workers

5.2.1. There is a growing demand and use of cloud-based HR systems for frontline workers, especially among the younger workforce who are more tech-driven. These systems provide flexibility and scalability, essential for managing a distributed workforce. They offer features like HR analytics, self-service portals, and comprehensive training processes, which help maintain productivity and engagement among frontline workers. (Rutter, 2023)

5.3. What role do digital platforms play in the future of HR for frontline workers?

5.3.1. Digital platforms play a crucial role in the future of HR for frontline workers by enhancing communication, streamlining processes, and providing real-time access to information. These platforms facilitate better scheduling, training, and performance tracking, ensuring that frontline workers have the tools and support they need to perform effectively. They also enable HR departments to gather and analyze data, resulting in more informed decision-making and improved employee engagement. Overall, digital platforms are essential for creating a more efficient and responsive HR environment for frontline industries. (Rutter, 2023)

III. Local HR Trends

1. **Manufacturing** - identification/categorization and needs

What specific HR challenges do manufacturing companies face in managing their frontline workforce and where is the need for digitalization?

1.1. Global Context:

1.1.1. Challenge: Disconnection from employees -- frontline workers typically work outside of the conventional 9-5 hours. Since much of traditional office communication happens within those hours, workers can be left out of key meetings or team activities that boost understanding, morale, or engagement within the company.

- Need for digitalization: help employees feel more connected to the hub by using a centralized application with integrated communication to bring everything together. They can access training material, reference documents, or engage in discussions with their teams through a built-in internet.
- Helping organizations extend their company culture to all front-line employees through boosting EX (employee experience)

1.1.2. Challenge: Front-line staff often struggle to establish daily routines due to the unpredictability of their work. While the fast-paced nature of such jobs can be motivating, the absence of consistent rituals can be a source of discomfort.

- The need for digitalization: Scheduling routine meetings with specific groups or individuals to discuss what's new, any problems, or just to have a chat. Keeping it casual and friendly takes extra pressure off the group and allows for a more inclusive and engaging conversation.
- Using your organization's internet —or employee app—to boost engagement and team spirit for dispersed front-line staff. Your internet can act as a digital hub where staff can meet, post questions, comments, and engage just like the social media platforms.

1.1.3. Challenge: Day-to-day schedules for front-line staff are quite common--this is just the reality of their positions and a motivation for many. Front-line workers aren't always checking their email, phones, or messages, as they tend to be busy and focused on making sure their work gets done (and the nature of their work often calls for the absence of their devices). It can be a challenge to keep these types of employees up-to-date with what's happening in the organization.

- The need for digitalization: Establishing a digital messaging system that's easy to access within their own time. Within an employee app, direct messaging keeps all things work-related limited to one centralized location.
- Offering asynchronous training through a comprehensive learning platform where employees can complete modules at their own pace.

1.1.4. Challenge: The future of work will see a reduction in many manual labor positions and an increase in artificial intelligence and machine-aided tools. To make sure employees aren't left behind on this shift toward automation, employers must be active in reskilling and upskilling their staff.

- The need: Curated front-line training that meets the direct wants and needs of each specific employee. Reskilling and upskilling for the future is imperative to provide employees with up-to-date proficiencies to enable their growth, professionally and personally.
- A digital learning platform that puts interactive resources at your employees' fingertips and offers asynchronous training.

2. Local Context:

2.1. Characterization of Manufacturing:

- Concentrated in metal, petrochemical, automotive, food industries; mainly concentrated in Johannesburg (Statssa). Cars, beverages, steel drive income in 2021 (Statssa)
- Reflects the state-driven industrialization period that lasted till the 1980s; driver of employment growth during this time
- South Africa's share of medium-skilled occupations in manufacturing is considerably below the average (it has one of the lowest shares for its level of income). In that sense, it resembles a higher income country. The share of low-skill occupations, on the other hand, is larger than other countries with the same level of income, so in this respect South Africa looks more like a lower income country.
- Worksize force has declined over the years, entering a period of stagnation
- Labour-intensive manufacturing subsectors continue to perform poorly, with detrimental impacts for employment. The implication of this is that South Africa, more than ever before, needs (industrial) policies geared at building capabilities in the sector and developing new sources of competitive advantage to arrest/reverse deindustrialisation (Source)

2.2. Challenges:

2.2.1. Quality of Work Life (QWL):

- Frontline workers often encounter professional and social environments that may not be conducive to their well-being and productivity.
- There can be a lack of positive organisational culture and climate, affecting workers' morale and satisfaction.
- Poor communication and cooperation between employers and workers can lead to conflict and dissatisfaction.
- Insufficient opportunities for enhancing skills and knowledge can limit workers' growth and motivation.
- Inadequate compensation and lack of rewards can demotivate workers and decrease job satisfaction.
- Limited access to necessary facilities like food services, transportation, and security can affect workers' physical and emotional needs.
- Low job satisfaction and insecurity regarding job continuity can lead to anxiety and decreased productivity.

- Limited freedom in decision-making and control over work-related activities can frustrate workers.
- Lack of time, equipment, information, and supervisory support can hinder workers' ability to perform tasks efficiently.

2.2.2. Turnover Intention:

- Turnover intention is high among frontline workers due to negative emotions towards their jobs and the organization, leading them to consider leaving the organization for better opportunities.

2.2.3. Organizational Commitment:

- Workers may not feel emotionally attached to their organization, reducing their desire to stay.
- A sense of obligation to stay, even if dissatisfied, can lead to decreased motivation and performance.
- Workers might stay solely because they have invested significant time and effort in the organization, rather than out of loyalty or satisfaction.

2.2.4. Global Market Demands and Challenges:

- Unstable electricity supply and volatile currency can create a challenging environment for manufacturing operations, indirectly affecting workers.
- Pressure to maintain high productivity with limited resources can increase stress and dissatisfaction among workers.
- Frequent changes and instability in the industry can lead to job insecurity and high turnover intention

2.2.5. Human Resource Management Issues:

- High rates of absenteeism and burnout are common due to the demanding nature of the work and insufficient support from the organization.
- Workers may exhibit low commitment and productivity due to various factors impacting their QWL.
- Poor communication between management and workers can lead to misunderstandings, conflicts, and dissatisfaction.

2.3. Practical Implications to improve QWL

2.3.1. Enhancing the work environment and organizational culture.
2.3.2. Providing better training and development opportunities.
2.3.3. Ensuring fair compensation and adequate facilities.
2.3.4. Increasing job satisfaction and security.
2.3.5. Allowing more autonomy in work and ensuring adequate resources.

3. Construction -- identification/categorization and needs

3.1. [Global Context]

3.1.1. Safety

- HR is crucial in ensuring workplace safety by developing and enforcing comprehensive safety policies and conducting regular risk assessments. HR also ensures compliance with safety regulations, and prepares for emergencies through detailed response plans and training of safety programs (Barrett, n.d.). By fostering a culture of safety, HR ensures a safe working environment, thereby enhancing workers satisfaction, productivity, and retention.

3.1.2. Training

- HR plays a key role in ensuring workers are well-trained by developing comprehensive training plans and policies. They design and implement these training programs to cover both general and role-specific skills, ensuring that all workers receive the necessary education to perform their duties safely and effectively. By identifying skills gaps, HR ensures that targeted training is provided to address these deficiencies, enhancing workers' competencies and performance (Barrett, n.d.).

3.1.3. Legal compliance

- HR plays a crucial role in helping frontline workers understand their legal rights and responsibilities by providing clear, accessible information on employment laws and company policies. They offer guidance on issues such as workplace safety, discrimination, and fair treatment, ensuring employees are aware of their entitlements and obligations.
- HR serves as a mediator in the employment relationship, assisting workers in resolving conflicts, addressing grievances, and navigating complex workplace dynamics. Through these efforts, HR not only promotes compliance with legal standards but also fosters a supportive and transparent work environment, enhancing trust and communication between employees and management.

3.2. Local Context

3.2.1. Characterization:

- The key industry players are WBHO, Raubex Construction and Concor.
- The construction industry contributes 5.3% and 7.8% of South Africa’s formal and informal sector employment. Frontline workers form the greater number of people working in the construction industry. This diverse group includes carpenters, bricklayers, plumbers, operators of heavy machinery among others.However, frontline workers often face challenging working conditions, including safety risks and long work hours. For safety purposes, there are regulations mandating the use of personal protective equipment(PPE) and enforcing safe work practices.
- The government and the industry are committed to develop the skills of its workforce and therefore it offers comprehensive training for its workers.

3.2.2. Challenges

- Economic Decline: The industry has been negatively impacted by South Africa's broader economic decline, policy uncertainty, corruption, and limited budget and finance for infrastructure development.
    - The COVID-19 pandemic exacerbated these issues, causing further decline.
- Corruption and Fraudulent Activities: Corruption is a significant problem, leading to inefficiencies and loss of investor confidence and hindering the industry's growth and productivity.
- Policy and Governance Issues:
    - Overregulation and non-compliance with laws and safety standards have been detrimental.
    - More than 1,000 pieces of legislation have created numerous regulatory requirements, giving an impression of overregulation.
    - Policy uncertainty and indecisiveness from regulatory bodies contribute to the challenges.
- Investor Confidence: Political instability and poor governance have reduced investor confidence.
    - The construction industry's declining performance has further deterred investment.
- Productivity Issues:
    - The industry faces challenges in completing projects on time and within budget.
    - There is a shortage of skilled labor, leading to increased reliance on immigrant workers.
    - Strikes and labor disputes have also impacted productivity.
- Loadshedding: The number of loadshedding days was higher than in any previous year since the practice began, directly affecting productivity, causing delays, and increasing costs for construction projects.
- Construction Mafia: criminal syndicates forcefully extract protection fees from construction companies through intimidation tactics, threatening the future of construction

TABLE I. FACTORS AFFECTING THE PROGRESSION OF SOUTH AFRICA'S CONSTRUCTION INDUSTRY

Factors	$\bar{x}$	σX	R
Corruption	4.38	.744	1
Technology and Innovation	4.35	.943	2
Political uncertainty and indecisiveness	4.35	.900	2
Health and safety	4.35	.774	2
Inclusive procurement practices	4.31	.765	3
Investor interest and confidence	4.31	.782	3
Public- sector capacity	4.26	.834	4
Sustainable construction	4.24	.855	5
Regulatory and legislative framework	4.23	.841	6
Labour workforce and available skills	4.14	.979	7
Restructuring and productivity of construction firms	4.09	.955	8

Figure 1: Construction sector performance (2012-2021)

Source: StatsSA (2022)

[(Source)]

3.2.3. Key Needs

- Technological Advancement: Adoption of advanced technologies like robots and automated machines needs to be regulated and inclusive. The industry is in the early stages of adopting digital systems, and further technological integration is required.
- Government and Policy Reform: Good governance, policy certainty, and decisiveness are needed to stabilize the industry. Government should enforce compliance and impose fines or sanctions on non-compliant firms.
    - Inclusive procurement practices to support SMMEs (Small, Medium, and Micro Enterprises) are essential.
- Skilled Workforce Development: There is a need for improved training and development programs to bridge the skills gap. Programs like the Expanded Public Works Programme (EPWP) aim to develop a skilled workforce.
- Public Sector Capacity: Enhancing public sector capacity to deliver infrastructure projects efficiently is crucial. Collaboration with the private sector can help address resource and skill shortages.
- Sustainable Practices: Emphasis on sustainable construction practices is necessary to ensure long-term growth and stability.

Addressing issues related to land availability and zoning can facilitate development.

4. Low income retail trends

What are the emerging trends in HR practices for low-income retail sectors and their need for digitalization?

4.1. Global Context:

4.1.1. Planning

- Low-retail sector is normally characterized with a large number of inexperienced workers, working for long hours and many part-time workers. This has led to high turnover rates, poor performance and absenteeism. HR has a duty to evaluate the current workforce, identify gaps and plan accordingly on how these gaps are going to be addressed to ensure an effective workflow.

4.1.2. Talent Growth and Retention

- Ensuring talent retention in the low-income retail sector is crucial for several reasons. This is because the high turnover rates lead to significant costs in hiring and training new employees, while also disrupting productivity. On the other hand, retaining employees enhances customer service, as experienced workers provide better service and build stronger relationships with customers. It is therefore important to create a stable work environment, boost team morale, train the workers and foster better teamwork. Long-term employees develop valuable skills, contributing to a more capable and reliable workforce. Overall, talent retention leads to reduced costs, improved customer experiences, and a more efficient and successful business

4.1.3. Diversity and Innovation

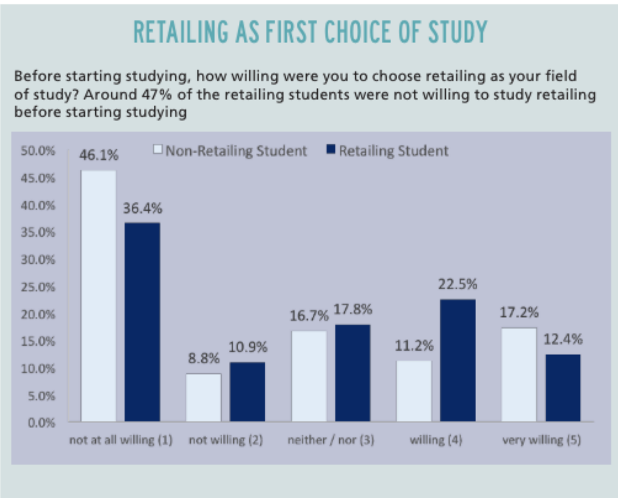
- Ensuring diversity and innovation in the low-income retail sector is vital for several reasons. Diversity brings in new perspectives and ideas, which can lead to more creative solutions and better problem-solving. Innovation in this context means finding new and better ways to do things. When employees from diverse backgrounds work together, they can think outside the box and come up with innovative ideas that improve customer service, increase sales, and make the business more competitive. Moreover, a diverse workforce can better understand and meet the needs of a diverse customer base, enhancing customer satisfaction and loyalty. Therefore, there's an emphasis on HR to ensure that diversity is taken into consideration during recruitments.

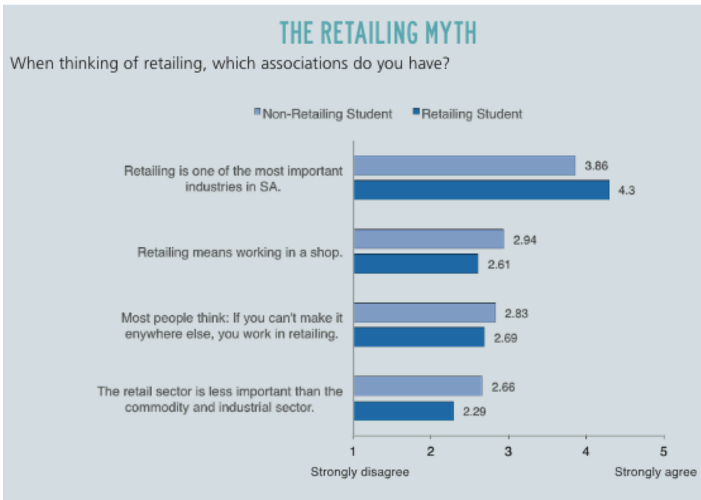
4.1.4. Artificial Intelligence

- AI is transforming HR in the retail sector by automating payroll, benefits, and recruitment processes while enhancing policy creation and predictive analytics. A survey by [McKinsey] highlights 92% of HR leaders planning increased AI integration, citing efficiency gains and cost reductions. Elliott Sanderson from Sanderson King predicts that AI will significantly enhance talent attraction and streamline recruitment, foreseeing its role in reducing labor-intensive tasks like CV screening. He also mentions the importance of skilled human oversight in maximizing AI's potential effectively. This trend positions retailers strategically, leveraging AI for superior decision-making and competitive advantage in the evolving market landscape.

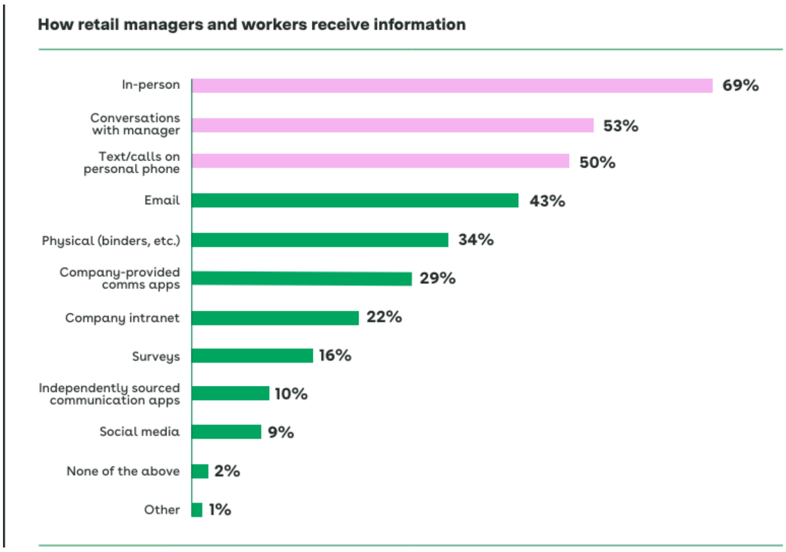
4.2. Local Context:

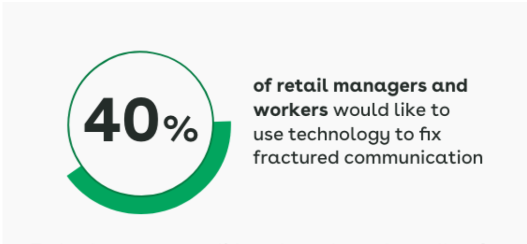
- The retail sector is the second largest employer after the government. The retail landscape is so vast, it spans from big retail chain stores to neighborhood convenience stores. It is made up of formal and informal businesses that serve the various needs of South African people.
- This industry represents close to 20% of South Africa’s GDP.
- Shoprite is the biggest retailer in the country with a market capitalisation of R130 billion.
- The South African retail sector has been experiencing a drop in sales. Retail sales (adjusted for inflation) fell 2.3% YOY in October and 0.9% YOY in November 2023, On a seasonally adjusted basis, sales in November were ZAR 3.7 billion (USD 197 million) lower than the record high recorded in June 2021.
- The retail industry is evaluated very poorly in terms of its view as a good career opportunity and prospect in the job market. It is viewed as having limited opportunities for further training and to work in other industries, as well as low chances for personal growth and a good work-life balance.





- Poor communication between managers and frontline workers, indicating a need for innovation





IV. Jem HR Analysis

1. Business model
   1.1. What is Jem:
      1.1.1. Connects frontline employees with their employers and provides the employees with fair financial services
      1.1.2. Total Products: Payslips, timesheets and rosters, communications, earned wage access, financial wellness, white label, HR inbox
   1.2. Pricing information:
      1.2.1. Divided into employer pricing vs employee:
         1.2.1.1. Employee:
            Payslips (R 5.90 per employee),
            Timesheets and rosters (R 5.90 per employee),
            Communications (R 2.80 per employee or),
            Earned wage access (employees pay a withdrawal fee of R6 per transaction + 3.5% of the amount advanced)
         1.2.1.2. Employer: Financial wellness (free), White Label (R 10,000 per month), HR inbox, Earned wage access (free)
   1.3. Revenue Streams:
      1.3.1. There is a dual revenue stream -- SAAS and transaction based revenue. The recurring SAAS revenue provides stability. This is a subscription model with tiered pricing based on features and employee count (employer) and then the predictable transaction-based revenue scales with user engagement. Percentage of transaction volume + fee per transaction. (employee)

1.4. SWOT

Strengths	Weaknesses
- Unique offering (JemHR addresses a significant gap by targeting and providing services for frontline employees who are unable to use tech provided by existing cloud-based HR providers) - JemHR has adopted an innovative approach with WhatsApp, a platform widely used by 94% of South Africa's population - Already serves 100,000+ employees and 130+ employers, demonstrating strong product-market fit and positive customer feedback. - High growth, strong traction and low churn rates - Affordable pricing - It takes minimal time to implement	- Reliance on WhatsApp as the sole method of provision of services - Advertisement and visibility gap - Only addresses companies with a large workforce according to the old business model (500 +)
Opportunities	**Threats**
- Expanding to other industries locally and globally (Manufacturing, Construction, Low-income Retail) - Curtailing services to meet industry-specific requirements. For example tracking training progress, union agreements, skills management for the construction industry. - Usage of AI to set up a 24/7 customer support system to address the most common issues faced by the clients.	- Local and global competitors (direct and indirect competition) - Possibility of WhatsApp crashing and disrupting service offerings - Data breaches and security threats

1.5 3 C’s model (Customers, Company, Competition)

<table>
<tr>
<td>Company
What is Jem’s mission?
What are Jem’s strengths?
What are Jem’s weaknesses?
What is the work culture like?</td>
<td>Build the ultimate HR system for frontline employees
Unique and affordable approach via whatsapp
Reliance and advertisement gap
Community engagement and opportunities for professional development</td>
</tr>
<tr>
<td>Customers
What are the specific HR challenges and needs of current and potential customers?
What is Jem’s ICP?
How satisfied are customers with current offerings, and what improvements do they desire?</td>
<td>ICP:
Deskless Workforce
Highly Distributed Employees (5+ locations)
Decentralised (<100 employees per site)
Income level Primarily (< R12k pm)
# of employees (>200 and < 10,000)
High levels of consumer satisfaction due to significant savings and low churn rates</td>
</tr>
<tr>
<td>Competition
Who are the local and global competitors?</td>
<td> FlowHCM is a HR services company based in Pakistan and its software includes features such as onboarding, recruitment, payroll and administration benefits etc. It provides its services to clients globally. Has seen success in Pakistan and the Middle East. Been awarded the Asia Pacific ICT alliance award. ChatInc streamlines communications with frontline workers via Whatsapp. It allows for these workers to receive announcements, updates and support on whatsapp. It has recently expanded to providing HR services as well including payrolls. Workday: Provides enterprise-level HR software that includes human capital management, payroll, and workforce planning tools. SAP SuccessFactors: Offers cloud-based HR software that covers everything from payroll to employee engagement and performance management. VIP Payroll: Specializes in payroll and HR software solutions tailored for South African businesses. BDO South Africa: Provides HR advisory services and HR technology solutions aimed at improving workforce management. </td>
</tr>
</table>

V. Solution and Recommendations: Expansion Strategy for Jem HR

1. Market sizing - *Source: Excel*
   1.1. Manufacturing

Target companies that are most distributed and on the higher end of the employee count range. Since manufacturing on average was found to have higher salaries than the other two industries, we recommend salary not to be a major focus for market entry in manufacturing.

∗Employment count and wage statistics were taken from samples researched on a company-by-company basis.

High-level breakdown of market-sizing for the Manufacturing Industry reveals a count of 150 companies within Jem's ICP excluding income.

Manufacturing Employees in South Africa		Average employee count		Without low income filter: company count		With low income filter: company count	
1,558,000		2,446 → 637 companies		150 companies, 367k employees		67 companies, 164k employees	
Employee counts: taken from a sample of 47 companies.		% Out of Total Employment	Sample Size	Sampled 100 companies *(excluded branches of international corporations, digital manufacturers, & overlaps with manufacturing)*	Company count	Low Income filter, estimated from a sample of 29 companies.	Company count
0-200	(avg. 150)	38%	15 + 3 unknown	Including: 68%	433 (62% = 267)	<R12k 45%	13
200-500	(avg. 350)	15%	7	Excluded: 32%	204	>R12k 55%	16
500-1,000	(avg. 750)	9%	4	**Total 100%**	**637**	**Total**	**29**
1,000-5,000	(avg. 3,000)	17%	8	**HR trend alignment**	**Company count**	Market size with low income filter	67 (45% of 150)
5,000-10,000	(avg. 7,500)	15%	7	Yes: 56%	150	Multiply by average employee count	2,446
+10000	(avg. 10,100)	6%	3	No: 44%	117	Employee count with low income filter	163,865
Total		**100% (62% within ICP)**	**47**	**Total 100%**	**267**		

In the South African Manufacturing Industry, we found that 67 companies fit Jem's ICP with a revenue potential of 5 Mio ZAR p.a. assuming a 5% adoption rate.

Excel With Sources

Revenue Sources	Revenue per month per employee (Rand)	Adoption	Revenue per month (Rand)	Revenue per year (Rand)	Revenue per year (USD/ZAR .055 FX)
Payslips & Timesheets	5.9	100% (67 co.)	1,933,607	23,203,284	
Communication	2.8	46% (31 co.)	458,822	5,505,864	
White labels	10,000 (per company)	48% (32 co.)	320,000	3,840,000	
EWA	15 (3.5% of 330)	65,325	6,808,590.75	81,703,089	
Financial services	3.50	44%	252,352.10	3,028,225	
Total			**9,773,371.85**	**117,280,462.2**	**$6,450,425.421**

Adoption rates	Revenue per year (Rand)	Revenue per year (USD)
3%	**3,518,413.86**	**$193,512.76**
5%	**5,864,023.1**	**$322,521.27**
10%	**11,728,046.2**	**$645,042.54**

1.2. Construction

High-level breakdown of market-sizing for the Construction Industry reveals a count of 62 companies within Jem's ICP.

Types of Construction	Number of Employees	Employees in Large Enterprises (22.5%)	Number of Companies *(Assuming average of 1,699 employees per company)*	Average Salary in Rands	Below 12k p.m. (144,00k p.a.)	Count of Companies
Site Preparation	8,713	915.76	0.54	189,602.00	No	.5
Building construction	115,229	25,926.53	15.26	136,684.00	Yes	15.3
Construction of Civil Engineering Structures	121,157	27,260.33	16.04	180,840.00	No	16
Construction of other structures	11,942	2,686.95	1.58	197,371.00	No	1.6
Construction by specialist trade contractors	21,784	4,901.40	2.88	119,170.00	Yes	2.9
Plumbing	18,089	4,070.03	2.39	100,835.00	Yes	2.5
Electrical Contractors	41,933	9,434.93	5.55	142,895.00	Yes	5.6
Shoplifting	3,630	816.75	0.48	160,606.00	No	.5
Other Building installation	29.456	6,627.60	3.90	210,657.00	No	3.9
Painting and decorating	9,494	2,136.15	1.26	141,142.00	Yes	1.3
Other building completion	72,042	16,209.45	9.54	95,389.00	Yes	9.5
Renting of Construction or Demolition Equipment	19,745	4,442.63	2.61	231,248.00	No	2.6
Total	**473,214**	**105,428**	**62**	**189,602.00**		**No (25) Yes (37)**

In the South African Construction Industry, 62 Companies were estimated to fit Jem's ICP with a revenue potential of 4.6 Mio ZAR p.a. assuming a 5% adoption rate.

62 — Large enterprise companies within the industry (250+ employees)

35 — Large Enterprise Companies with average income <12k

27 — Large Enterprise Companies with average income >12k

105,428 — Employees in 62 companies, assuming average of 1,699

72% — Percentage of deskless workers

Revenue Sources	Revenue per month per employee (Rand)	Employee Count	Revenue per month (Rand)	Revenue per year (Rand)	Revenue per year (USD/ZAR FX .055)	Potential Y1 Revenues assuming a 3% adoption rate	Potential Y1 Revenues assuming a 5% adoption rate	Potential Y1 Revenues assuming a 10% adoption rate
Payslips & Timesheets	5.9	211,066	1,245,292	14,943,504	$821,397	$24,641	$41,094	$82,139
Communication	2.8	105,533,	295,493	3,545,916	$195,025	$5,850	$9,751	$19,502
White labels	10,000 (per company)	62 (Companies)	621,000	7,452,000	$409,860	$12,295	$20,493	$40,986
EWA	15 + (330 * 3.5%)	105,533	5,594,794	67,137,135	$3,692,564	$110,776	$184,628	$369,256
Totals:			**7,756,579**	**93,078,555**	**$5,594,794**	**$167,843**	**$255,967**	**$559,479**

Adoption rates	Revenue per year (Rand)
3%	**2,792,356.65**
5%	**4,653,927.75**
10%	**9,307,855.50**

1.2.1. Statistics used:

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Table 13 – Information and communication technology usage by type of service in the construction industry, 2020[2]

Type of service	Use computer	Use internet	Use fixed phone lines	Use fax machine	Use corporate mobile phone	IT outsourced
	%					
Site preparation	40,6	40,2	38,3	32,2	35,9	24,4
Construction of buildings	58,1	58,1	54,8	46,8	53,2	27,4
Construction of civil engineering structures	38,9	38,7	36,7	31,5	32,8	24,2
Construction of other structures	50,4	49,4	48,2	40,2	44,5	30,6
Construction by specialist trade contractors	30,9	30,9	30,9	29,4	30,9	17,6
Plumbing	42,5	42,5	40,9	29,1	39,4	25,2
Electrical contractors	31,8	31,8	28,5	23,6	27,3	17,8
Shopfitting	41,6	40,4	37,6	31,2	37,2	27,6
Other building installation	24,0	24,0	23,0	19,0	24,0	18,0
Painting and decorating	53,4	53,4	52,5	41,6	47,0	29,7
Other building completion	26,6	26,6	23,4	17,7	24,2	12,9
Renting of construction or demolition equipment with operators	25,9	25,9	24,5	22,4	23,8	13,3
Total	**55,2**	**55,2**	**51,0**	**46,9**	**50,3**	**37,1**

[2]Preliminary figures

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Figure 3 – Gender ratios in the construction industry, 2020

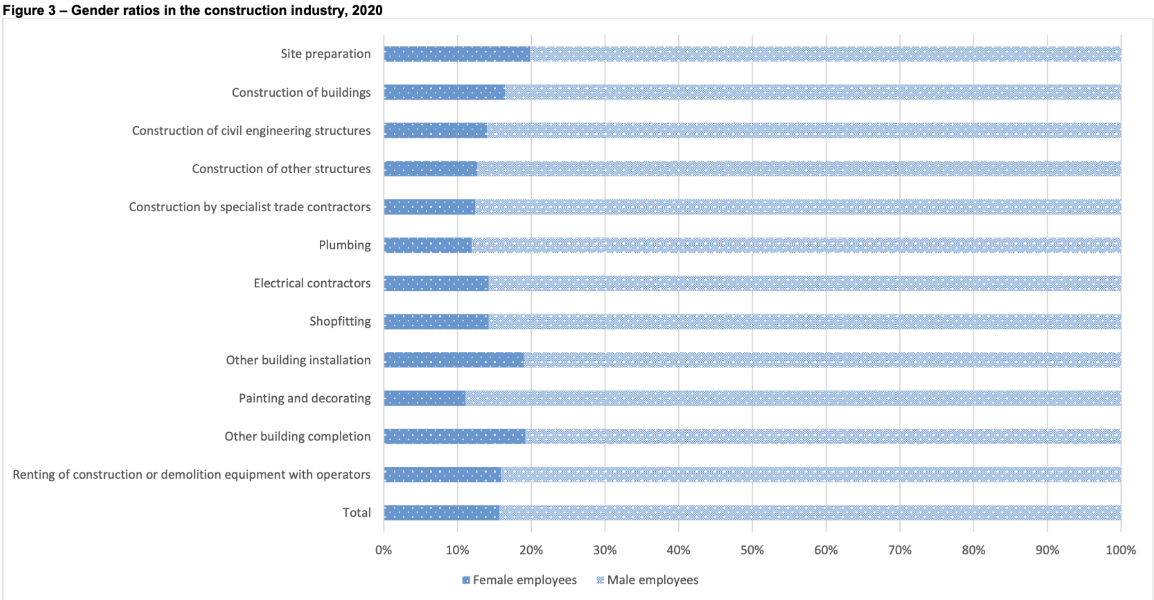

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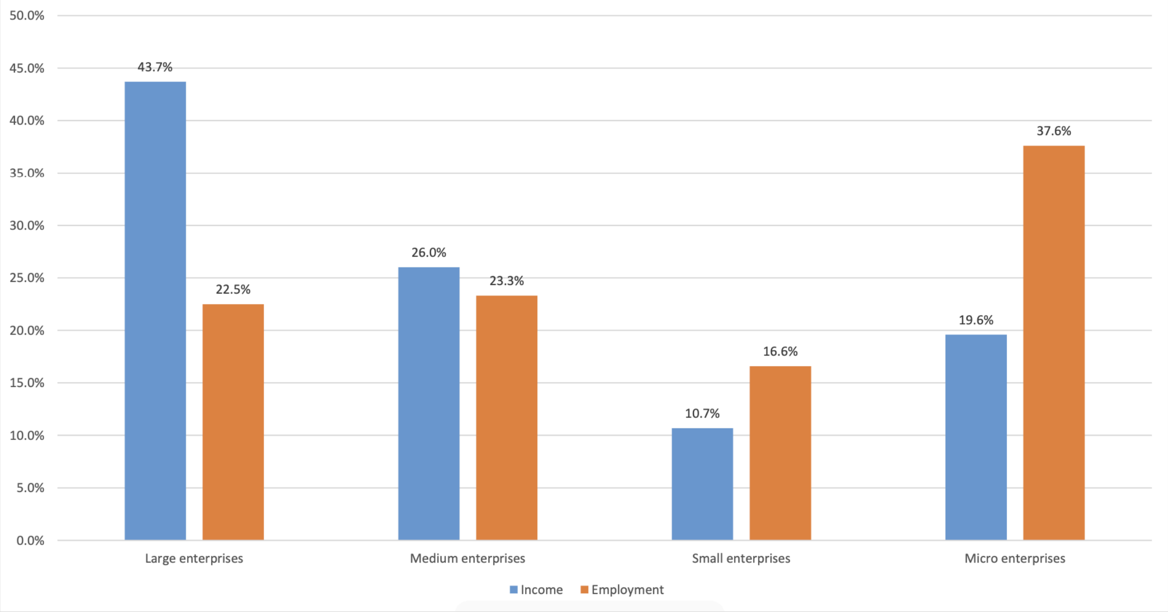
Figure 2 – Income and employment by enterprise size (% contribution) in the construction industry, 2020



Source: https://www.statista.com/statistics/564807/construction-firms-size-region-great-britain/
Source: https://www.scirp.org/journal/paperinformation?paperid=70407
Source: https://www.statssa.gov.za/publications/Report-50-02-01/Report-50-02-012020.pdf

1.3. Low-income retail

High-level breakdown of market-sizing for the Low-Income Retail Industry reveals a count of 442 companies within Jem's ICP.

Total Population	40.77% are employed		21% employed in the retail sector		Avg Employees per Company (Estimation From Database)		Estimated total number of companies in low-income retail
61,027,655	24,880,975		5,225,005		5,716		559
Types of Retail	% Out of Total Employment	Estimated employment for 2024	Employees in Large Enterprise (assuming 61.2% of employee population is in large enterprise)	Average Salary in Rands	Below 12k p.m. (144,000 per year)	Count of Companies	No of Companies distributed in >5 locations (assuming 97.5% are distributed)
Non-specialised stores (food, beverages and tobacco)	38.4%	2,005,345	1,227,271	96,384	yes	215	209
Other non-specialised stores	5.9%	307,628	188,268	132,255	yes	33	32
Food, beverages and tobacco in specialised stores	7.8%	409,102	250,371	92,657	yes	44	43
Pharmaceutical and medical goods, cosmetic and toilet articles	6.8%	357,242	218,632	198,377	no		
Textiles, clothing, footwear and leather goods	22.2%	1,159,894	709,855	121,430	yes	124	121
Household furniture, appliances, articles and equipment	4.6%	239,335	146,473	153,297	no		
Hardware, paints and glass	6.2%	324,028	198,305	129,699	yes	35	34
Other specialised stores	6.1%	318,356	194,834	144,041	no		
Second-hand goods in stores	0.5%	24,791	15,172	126,047	yes	3	3
Repair of personal and household goods and retail trade not in stores	1.5%	79,284	48,522	178,668	no		
Total	100%	5,225,005	3,197,703			453	442

In the South African Low-Income Retail Industry, 442 Companies were estimated to fit Jem's ICP with a revenue potential of 105 Mio ZAR p.a. assuming a 5% adoption rate.

559 — 453 — 442 — 5.7M

Filter 1: Companies with > 250 employees

Filter 2: Average income < 12K Rand

Filter 3: Distributed

Total Annual Market Value in USD

JemHR Services	Company Count	Employee Count	Price per month(in rands)	Total revenue/month(in rands)	Total revenue/year(in rands)	Total revenue/month(in dollars)	Total revenue/year(in dollars)
Communication	442	2,526,472	2.8	7,074,122	84,889,459	$ 386,987	$ 4,643,844
Payslips	442	2,526,472	5.9	14,906,185	178,874,218	$ 815,437	$ 9,785,242
Timesheets	442	2,526,472	5.9	14,906,185	178,874,218	$ 815,437	$ 9,785,242
EWA(both same day & instant)	442	2,526,472	15 + (330 * 3.5%)	134,155,663	1, 609,867,958	$ 7,338,931	$ 88,067,175
White Label	442	2,526,472	10,000	4,420,000	53,040,000	$ 241,794	$ 2,901,532
Total				175,462,154	2,105,545,853	$ 9,598,586	$ 115,183,034
Estimated actual market size based on 3% adoption rate				5,263,865	63,166,376	$287,958	$3,455,491
Estimated actual market size based on 5% adoption rate				8,773,108	105,277,293	$ 479,929	$ 5,759,152
Estimated actual market size based on 10% adoption rate				17,546,215	210,554,585	$959,859	$11,518,303

Exchange rate
1 Dollar = 18.28 Rand

1.3.1. Statistics used

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Figure 2 – Income and employment by enterprise size (% contribution) in the retail trade industry, 2018

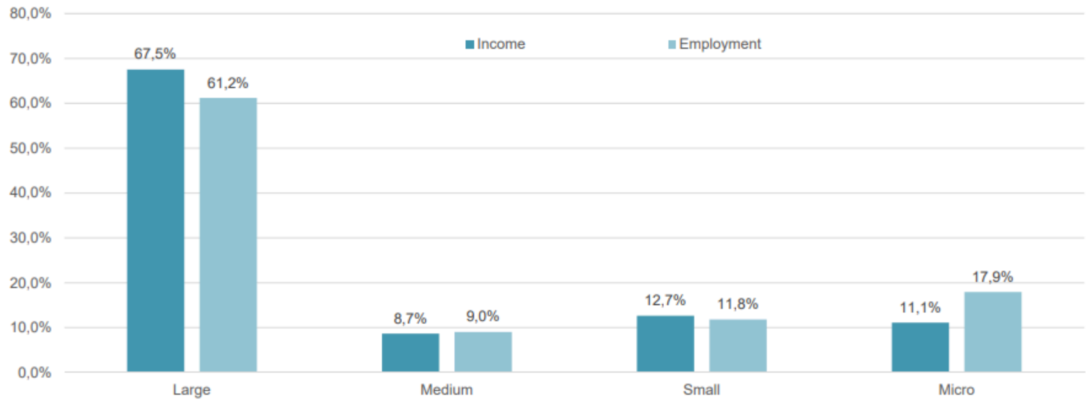

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Table E – Average salaries and wages in the retail trade industry, 2009–2018

Type of retail trade	2009			2012			2015			2018		
	Salaries and wages	Total employees	Average salaries and wages	Salaries and wages	Total employees	Average salaries and wages	Salaries and wages	Total employees	Average salaries and wages	Salaries and wages	Total employees	Average salaries and wages
	R million	Number	Rands	R million	Number	Rands	R million	Number	Rands	R million	Number	Rands
Non-specialised stores with food, beverages and tobacco predominating	12 205	184 344	66 208	14 768	239 227	61 732	23 742	323 115	73 478	27 958	305 442	91 533
Other non-specialised stores	3 341	46 150	72 394	3 980	40 730	97 717	5 941	44 414	133 764	5 885	46 856	125 598
Food, beverages and tobacco in specialised stores	2 397	53 148	45 100	3 154	55 071	57 272	4 038	60 947	66 254	5 483	62 312	87 993
Pharmaceutical and medical goods, cosmetic and toilet articles	3 111	31 743	98 006	4 819	35 667	135 111	6 739	43 169	156 107	10 251	54 413	188 392
Textiles, clothing, footwear and leather goods	11 327	131 128	86 381	15 700	168 132	93 379	18 197	177 490	102 524	20 373	176 668	115 318
Household furniture, appliances, articles and equipment	5 757	63 742	90 317	6 217	57 174	108 738	4 649	47 635	97 596	5 307	36 454	145 581
Hardware, paints and glass	2 607	34 965	74 560	4 267	42 530	100 329	4 984	45 770	108 892	6 079	49 354	123 171
Other specialised stores	3 310	36 813	89 914	4 294	39 501	108 706	4 991	41 355	120 687	6 633	48 490	136 791
Second-hand goods in stores	192	2 645	72 590	263	3 229	81 449	283	3 019	93 740	452	3 776	119 703
Repair of personal and household goods and retail trade not in stores	2 346	36 357	64 527	1 842	21 558	85 444	2 188	21 618	101 212	2 049	12 076	169 675
Total	**46 593**	**621 035**	**75 025**	**59 304**	**702 819**	**84 380**	**75 752**	**808 532**	**93 691**	**90 470**	**795 841**	**113 678**

Source: Report No. 62-01-02

Source: https://www.statssa.gov.za/publications/Report-62-01-02/Report-62-01-022018.pdf
Source: https://info.axonify.com/rs/883-PFS-793/images/Retail-Deskless-Report-2023.pdf

VI. Vision Statement

Our vision is to empower the world's 2.7 billion frontline workers by delivering innovative, accessible HR solutions that meet workers where they're at. By capturing a greater market share in key industries such as manufacturing, low income retail, and construction, JemHR aims to expand beyond South Africa and become the leading HR technology provider for frontline employees globally.

VII. Final Recommendation

1. Jem is recommended to enter the low income retail industry first, followed by manufacturing and construction, targeting top performing companies with large employee counts.
   1.1. Low Income Retail: This industry offers the highest short, and long, term potential for Jem. Boasting potential year 1 revenues in the millions, clearly outpaces our other two industries. Furthermore, low income retail has a very strong fit within the ICP, indicating adoption rates above 5% may be possible
   1.2. Manufacturing: Although low income retail provides the widest range of ICP aligned options, the distributed and deskless nature of the manufacturing industry as well as previous success with clients indicates this industry should take second priority considering it's market size, with a focus on the most distributed companies with employee counts on the higher end of the 200-10,000 range.
   1.3. Construction: The dominance of small enterprises in the construction industry limits its possibilities for Jem. The income, deskless and distributed aspects of the ICP don't reduce the scope of companies too drastically, but the amount of companies that fit within the size requirement of the ICP is too limited, dragging down potential revenues and solidifying construction as the least desirable of the three industries.
2. Our recommended approach when entering all of the above industries is to target companies that are both significant players in the industry, as well as boast high employee counts. Their status in the industries will help quicken Jem's ability to reach the various tipping points, while the high employee counts will improve the transaction revenue values.

VIII. Next Steps

- Accomplish BHAG of reaching $100 million in annual revenue
- Implement successful launch of training module program
- Expand outside of South Africa, potentially to Botswana, Zimbabwe, Ghana, Kenya, and the US
- Capture 50% of the market share in our ICP
- Onboard 3,000+ new customers
- Win prestigious industry awards for innovation, customer service, and HR technology excellence
- Expand into new industries, e.g. healthcare, transportation & agriculture

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